NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 08.08.2018.

PRESENT: 1.Hon'ble member (J) **Shri Rajeswara Rao vittanala,**
2.Hon'ble member (T) D**r. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CA(CAA)No.44/ BB/2018	For pronouncement of order	Sec 230-232	Ajax Engineering Pvt Ltd	Argus Partners		

SL. NO. **NAME (IN CAPITAL) & PHONE NUMBER** **REPRESENTATION TO WHOM** **SIGNATURE**

PETITIONER/s :

RESPONDENT/s :

ORDER

None present for both sides. CA disposed of by separate order

Member(T)

Member(J)

Prema Murray – Steno

IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.44/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
AJAX ENGINEERING PRIVATE LIMITED
AND
AJAX CONSTRUTECH PRIVATE LIMITED
WITH
AJAX FIORI ENGINEERING (INDIA) PRIVATE LIMITED

Order delivered on:8.8.2018

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Argus Partners
Advocates
#68, Nandidurga Road,
Jayamahal Extension,
Bangalore-560046

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 16.7.2018

Ajax Engineering Private Limited
253/2, 11th Main road, 3rd Phase,
Peenya Industrial Area, Bengaluru-560058

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to

1. Dispense with the requirement to hold a shareholders' meetings and creditors' meeting and permit the Applicant to carry out the merger of Applicant and Ajax Construtech Private Limited (Transferor Company No.2) into Ajax Fiori Engineering (India) Private Limited (Transferee Company), in accordance with Section 230(9) of the Companies Act, 2013; or alternatively

2. Direct and permit the Applicant to hold shareholders' and creditors' meetings to pass a resolution in respect of the proposed merger in accordance with Sections 230 and 232 of the Companies Act, 2013.

The averments made in the Company Application are briefly described hereunder:-

Application is filed by the applicant company stating that Applicant Company was incorporated on 30th December, 1983 as per the provisions of the Companies Act, 1956 in the name and style of Ajax Engineering Private Limited with Registrar of Companies, Karnataka having CIN no.U74200KA1983PTC005782. The Registered office of the Applicant Company is situated at 253/2, 11th Main Road, 3rd Phase, Peenya Industrial Area, Bangalore-560058.

The main objects of the Applicant Company is to carry on the business of mechanical, chemical, electrical, electronics, metallurgical, civil, consulting and service engineers, iron founders, metal fabricators, steel makers and converters and to organize, conduct and manage engineering units or workshops or repair shops for machinery, equipment, accessories, fittings and parts of all descriptions and for any industry. The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-D.**

The latest authorized share capital of Applicant Company is Rs.47,00,000/- divided into 47,000 Equity Shares of Rs.100/- each. The issued, subscribed and paid-up share capital is Rs.46,98,000/- divided into 46,980 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure –K.**

It is further stated that, the Board of Directors of the Applicant Company has approved and adopted a Scheme of Amalgamation at its meeting held on 15th May, 2018 by virtue of which Ajax Engineering Private Limited (Applicant Company/Transferor Company No.1) and Ajax Construtech Private Limited (Transferor Company No.2) to be merged with Ajax Fiori Engineering India Private Limited (Transferee Company) subject to confirmation. A copy of the Board Resolution of the Applicant Company dated 15th May, 2018 approving and adopting the scheme of Amalgamation is shown as **Annexure-B.**

It is further averred in the scheme that the amalgamation of both the Transferor Companies with Transferee Company would inter alia have the following benefits:

1. Retention and Growth of Brand image and value;

2. Compliance with requirements arising from exit of strategic partner;
3. Saving of operational costs and compliance requirements;
4. Simplification of organisation structure.

It is further stated that the Chartered Accountant after verification of the books of accounts and other records and documents of the Applicant Company has certified the number of shareholders of the Applicant Company as on 14th June, 2018. There are nine equity shareholders. Certificate issued by the Chartered Accountant shown as **Annexure-J.**

It is further stated that there is only one Secured Creditors in the Applicant Company as on 31st March, 2018 as certified by the Chartered Accountant. The Certificate of the Chartered accountant certifying the list of Secured Creditors is shown as **Annexure-G.**

It is further stated that there are two Unsecured Creditors in the Applicant Company as on 31st March, 2018 as certified by the Chartered Accountant. The Certificate of the Chartered Accountant certifying the list of Unsecured Creditors is shown as **Annexure-H.**

We have seen the consent affidavits filed by the Nine Equity shareholders of Applicant Company /Transferor Company No.1 i.e., (i) Vijay Krishnaswamy, holding 6675 equity shares, constituting 14.21% of the paid-up capital,(ii) Ms.Kalyani Vijay holding 6615 equity shares, constituting 14.08% of the paid-up capital, (iii) Ms.Madhuri Vijay holding 3780 equity shares, constituting 8.05% of the paid-up capital, (iv)Mr.Vijay Krishnaswamy and Mr.Prashanth Vijay holding 1826 equity shares, constituting 3.89% of the paid-up capital, (v)Ms.Kalyani Vijay and Mr.Vijay Krishnaswamy holding 600 equity shares, constituting 1.28% of the paid-up capital, (vi)Mr.Prashanth Vijay holding 1880 equity shares, constituting 4.00% of the paid-up capital, (vii)Ms.Susie John holding 12,300 equity shares, constituting 26.18% of the paid-up capital, (viii)M/s.John Loaves Trust holding 7,666 equity shares, constituting 16.32% of the paid-up capital, (ix)M/s.Ajax Construtech Private Limited holding 5638 equity shares, constituting 12% of the paid-up capital.

It is stated that, the value of amounts due to Secured creditors of the Applicant Company is Rs.77,29,01,107/- and 100% of the Secured creditors representing value of Rs. 77,29,01,107/- have given their consent to the Scheme by way of affidavit. We have seen the consent affidavits given by the Secured Creditors shown as **Annexure-G series.**

It is stated that, the value of amounts due to unsecured creditors of the Applicant Company is Rs.1,24,240/- and 100% of the unsecured creditors representing value of

Rs.1,24,240/- have given their consent to the Scheme by way of affidavits. We have seen the consent affidavits given by the Unsecured Creditors shown as **Annexure-H series.**

The Applicant Company is seeking an order to dispense with convening of meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company on the ground that, there are Nine Equity Shareholders, One Secured Creditor and Two Unsecured Creditors. Nine Equity Shareholders, 100% of value of Secured Creditors and 100% of value of Unsecured Creditors have given their consent by way of affidavit for the proposed scheme of amalgamation.

We have heard the Counsel appearing for the Applicant Company which is Transferor Company No.2 for dispensing with the convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company for approving the Scheme of Amalgamation of Ajax Engineering Private Limited (Applicant Company /Transferor Company No.1) and Ajax Construtech Private Limited (Transferor Company No.2) with Ajax Fiori Engineering (India) Private Limited (Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-A.**

In the result, the application is allowed and holding of meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors is dispensed with. In any eventuality when the Applicant Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Arrangement to put forth their contentions before the Tribunal.

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

Sirisha